

ACME Compensation Policy v3.2

Effective: 2025-01-01 Owner: People Ops, Total Rewards

1. Compensation philosophy

We pay at the 60th percentile of the SF/NYC tech market for senior IC roles, and at the 50th percentile for early-career levels. Equity compensates the gap below market for L5+ levels.

2. Compa-ratio bands by performance rating

Rating	Target compa-ratio	Merit increase guidance
Outstanding	1.05 - 1.15	6%-9%
Exceeds	0.95 - 1.10	4%-6%
Meets	0.90 - 1.05	2%-3%
Inconsistent	0.85 - 0.95	0%-1%
Below	n/a [PIP track]	0%

3. Geographic differentials

SF/NYC	100%
Seattle/LA	95%
Austin/Chicago	90%
Remote-Tier-2	85%

4. Promotion triggers

Two consecutive cycles of Exceeds plus manager nomination plus skip-level approval. New base must land in the new level's 25th-50th percentile band.

5. Equity refresh

Annual refresh equals 25% of new-hire grant for Meets, 75% for Exceeds, 125% for Outstanding.

6. Pay equity audit

Conducted twice a year. Differences greater than 5% within the same role+level+location that cannot be explained by tenure or rating are flagged for review by the Compensation Committee within 30 days.